CSIS KOREA CHAIR

# Korea Daily Brief

Monday, October 12, 2026

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| KOSPI | USD/KRW | BRENT | BOK RATE |
|---|---|---|---|
| 6,384.24 | 1,332.28 | $105.82 | 2.50% |
| ▼ -3.6% | ▼ -0.8% | ▲ +1.1% | Oct 2026 |

## TODAY AT A GLANCE

1. North Korea fired multiple ballistic missiles from the Pyongyang area toward the East Sea at 9:20 a.m. KST — its fourth apparent missile test in a month — with at least some flying over 900 km, one day after the subdued Workers' Party anniversary concert.
2. Russia's Emergencies Ministry head Alexander Kurenkov arrived in Pyongyang for his ministry's first-ever visit, following a Moscow-Pyongyang agreement to train North Korean rescuers in Russia.
3. The KOSPI fell *3.65%* to 6,384.24, driven by a tech selloff amid Middle East tensions and inflation concerns, as the BOK governor defended back-to-back rate hikes as necessary to manage financial risk.

## TOP STORIES

DPRK

### North Korea fires multiple ballistic missiles — fourth test in a month — after Workers' Party anniversary

**Kim Jong Un**'s military fired multiple ballistic missiles from the Pyongyang area toward the East Sea at approximately 9:20 a.m. KST on October 12, with ROK JCS confirming at least some flew *over 900 km*; precise specifications remain under joint US-ROK analysis. The launch came one day after the subdued 81st Workers' Party founding anniversary concert and nine days after the previous IRBM firing drill. The ROK Presidential National Security Office convened an emergency meeting and demanded North Korea immediately halt what it called illegal launches; China's Foreign Ministry spokeswoman said Beijing had "no new comment" on the firing.

NK News / Yonhap / Bloomberg / AP / Reuters / WaPo / Newsis (Oct 12)

NK-RUSSIA-CHINA

### Russian EMERCOM Minister Kurenkov arrives in Pyongyang for first-ever emergency management visit

**Alexander Kurenkov**, head of Russia's Emergencies Ministry (EMERCOM), landed at Pyongyang's Sunan International Airport around 10 p.m. KST Sunday, according to Flightradar24 data and DPRK state media, marking the ministry's first-ever visit to North Korea. The trip follows a Moscow-Pyongyang agreement to train North Korean rescuers in Russia; Yonhap reported the delegation will discuss cooperation on disaster management projects. The visit extends the pattern of Russian ministerial engagement with Pyongyang across civilian technical domains alongside ongoing military-technical cooperation.

NK News / Yonhap English (Oct 12)

BUSINESS

### KOSPI falls over 3% in tech selloff; BOK governor defends back-to-back rate hikes

Seoul shares plunged *more than 3 percent* Monday, extending losses driven by technology sector weakness amid Middle East tensions and inflation concerns, with the KOSPI closing at 6,384.24 (-3.65%). **Bank of Korea** Governor Rhee Chang-yong said back-to-back rate hikes had bought the central bank time to respond to financial risks, defending the recent tightening cycle even as equity markets fell sharply. The won simultaneously hit a near two-year high against the dollar, driven by lower oil prices and dollar sales, creating a split-screen of currency strength and equity weakness.

Yonhap English / Bloomberg Korea (Oct 12)

## OVERNIGHT

| | | |
|---|---|---|
| US-KOREA | Seoul denies US has curbed most NK-related intelligence sharing · NK News<br>MND: 'No restrictions on intel sharing needed to maintain combined defense posture.' |
| US-KOREA | Unification Minister Chung Dong-young says ROK-US alliance intact despite conflicting interests · Yonhap English<br>Chung dismissed concerns amid US pressure over intelligence disclosure. |
| DPRK | North Korean defector appointed head of Korea Hana Foundation for first time · Yonhap English<br>First defector to lead the settlement-support foundation. |
| TECHNOLOGY | ROK Defense Ministry opens military's first AI transformation base at Pangyo Techno Valley · Yonhap English<br>Physical AI hub for humanoid and quadruped robots, data collection, and field testing. |
| CHINA-KOREA | China declines to comment on DPRK ballistic missile launch — 'no new comment' · 뉴시스<br>Beijing's MFA spokeswoman Mao Ning: 'noted relevant reports' but no new position. |

## STAT OF THE DAY

**900+ km**

Minimum flight distance of DPRK ballistic missiles fired Oct 12

ROK JCS confirmed at least some of the multiple ballistic missiles fired from Pyongyang toward the East Sea flew over 900 km — the fourth DPRK missile test in a month.

Yonhap English — (URGENT) N. Korea's ballistic missiles flew over 900 km: JCS

## PYONGYANG WATCH · KCNA

KIM JONG UN **WATCH FLAG**

● **Public appearance — Kim Jong Un attended the 81st Workers' Party founding anniversary concert at Pyongyang Indoor Stadium; no external statement or message was issued.**

TOP KCNA ARTICLES

1. **Kim Jong Un Attends 81st Party Founding Anniversary Concert Without External Message** KIM
   Kim attended the anniversary concert but issued no speech, message, or public statement — the most subdued WPK founding observance in recent years. — KCNA (Kim stmt) via SBS
2. **North Korea fires missiles days after South Korea's hypersonic test**
   Multiple ballistic missiles fired from Pyongyang area toward the East Sea — fourth DPRK missile test in a month — days after ROK's hypersonic weapon test. — KCNA (Reuters)
3. **North Korea marks 81st anniversary of ruling party on modest scale** KIM
   DPRK marked the Workers' Party 81st founding anniversary without a military parade or missile display — the lowest-profile October 10 observance in recent years. — KCNA (Yonhap)

> **Bottom line:** Kim Jong Un attended the subdued Oct 10 WPK anniversary concert without issuing any statement, then North Korea fired multiple ballistic missiles on Oct 12 — the fourth test in a month. Watch for KCNA's official characterization of the launch, which typically arrives within 24-48 hours and may include a Kim guidance claim or technical assertion.

## ● ROK GOVERNMENT

President + Ministries · Monday, October 12, 2026

청와대 국가안보실 · BLUE HOUSE / PRESIDENT'S OFFICE (NATIONAL SECURITY OFFICE)

### Emergency meeting convened; demands immediate halt to DPRK ballistic missile launches

NSO

The presidential National Security Office held an emergency meeting following North Korea's ballistic missile launches and issued a statement demanding Pyongyang immediately cease what it called illegal firings. The meeting was convened within hours of the 9:20 a.m. KST launch detection.

**Primary** Yonhap EN ↗

국방부 · MINISTRY OF NATIONAL DEFENSE

### Opens first defense AI transformation base (국방 AX 거점) at Pangyo Techno Valley

Minister Kang Shin-chul

Defense Minister **Kang Shin-chul** presided over the opening ceremony for the Army's Pangyo AX base, designated as a 'physical AI' hub for collecting training data and testing humanoid and quadruped robots for missions including IED disposal, NBC reconnaissance, and mine clearance. The base is the first in a planned national network.

**Primary** Yonhap EN ↗

국방부 · MINISTRY OF NATIONAL DEFENSE

### Clarifies data on military academy integration — 11 of 30 large-army nations use integrated model

MND Spokesperson

MND's spokesperson issued a public correction to a media report claiming no country with over 200,000 troops operates an integrated military academy, stating that of 30 countries worldwide with armed forces above that threshold, 11 use an integrated academy model and 19 use a separated model, including Japan and Turkey in the integrated category.

**Primary** MND X ↗

## NATIONAL ASSEMBLY

### Intelligence sharing dispute discussed; NIS denies US curbed NK intel cooperation

National Assembly Intelligence Committee

The intelligence sharing dispute between Seoul and Washington remained a topic in assembly proceedings, with the ROK spy agency denying reports of US restrictions on North Korea-related intelligence; Yonhap reported the NIS's denial through assembly readouts.

### Kim Ji-yong confirmation hearing for CSIS director set for Oct 14

Administration and Security Committee

The committee will hold a confirmation hearing October 14 for nominee **Kim Ji-yong** as head of the new Serious Crime Investigation Agency (중수청); nominee submitted written answers defending his independence from political influence and pledging to end 'targeted investigation' practices.

## US-KOREA TRADE & INVESTMENT

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge (10%) expired July 24, leaving no single baseline reciprocal tariff. Section 301 investigations launched in March 2026 are now the primary prospective tariff vehicle for any new measure on Korean goods.

### TARIFFS

# EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now the primary tariff vehicle; sector 232 rates still in force.

**WATCH THIS DATE**
next trigger: Section 301 determination — pending, no fixed date

**SECTOR RATES**

| | | |
|---|---|---|
| **Steel & Aluminum** | SECTION 232 | **50%** |
| **Copper** | SECTION 232 | **50%** |
| **Automobiles & Auto Parts** | SECTION 232 | **15%** |
| **Timber / Lumber / Wood Derivatives** | SECTION 232 | **15%** |
| **Semiconductors (advanced logic)** | SECTION 232 (PROCLAMATION 11002) | **25%** |
| **Pharmaceuticals** | SECTION 232 | **up to 15%** |
| **Civil Aircraft & Parts** | US-KOREA DEAL EXEMPTION | **0%** |
| **Generic Pharma / Precursors / Rare Natural Resources** | ALIGNED PARTNERS LIST | **0%** |

### INVESTMENT · $350B PLEDGE

**$350B** pledged

Structure: $150B shipbuilding (MASGA), $200B strategic sectors, $100B US energy purchases; no official drawdown figure reported to date.

**$350B PLEDGE · SELECTED PROJECTS**

| | |
|---|---|
| **Encinal gas-fired power plant, Texas** Energy — Texas, 6.3 GW | **$22.3B** |

**FULL TRADE REFERENCE →**
Investment ledger and standing policy measures.

## BUSINESS & ECONOMY

MACRO · YONHAP ENGLISH

### KDI warns South Korea's economic recovery has yet to benefit households broadly

The Korea Development Institute said growth driven by robust chip exports has not yet translated into broad household income gains, signaling uneven distribution of the recovery and flagging risks for domestic consumption.

TECH · 매일경제

### China's CXMT claims next-generation DRAM launch in 2026 — two years ahead of Samsung

China's CXMT said it will release next-generation DRAM within 2026; Samsung's equivalent product is not expected until 2028 mass production. Industry sources warn the claim may overstate current capability but urge Korean chipmakers not to underestimate China's technology catch-up pace, particularly as BIS export controls limit CXMT's access to leading US equipment.

Samsung Electronics

TECH · YONHAP ENGLISH

### Supreme Court dismisses tax office appeal — Google Korea wins corporate tax dispute

South Korea's Supreme Court dismissed the tax office's appeal, ruling in favor of Google Korea in a long-running corporate tax dispute, in a decision with implications for how platform-economy multinationals are taxed on Korean-sourced revenue.

Google

## PUBLIC SENTIMENT

PRESIDENTIAL APPROVAL

**37%**

— 0 pts vs Sep 15-17

Gallup Korea · October 6-8, 2026

42% since Aug 25-27 ↓ 37% across 5 readings

| RULING Democratic | OPPOSITION People Power | INDEPENDENTS |
|---|---|---|
| 35% | 26% | 31% |

**Gallup Korea Spotlight** October 6-8, 2026

**Presidential approval and party support — post-Chuseok baseline:** President Lee Jae-myung's approval held at 37% in Gallup Korea's October 6-8 poll, unchanged from September 15-17, while disapproval eased from 56% to 51%; Democratic Party support fell four points to 35% and independents rose to 31%.

**Discourse:** PPP lawmaker Ju Jin-woo's social media comment using wordplay on 'Lee Jae-myung' with connotations of cutting/ending triggered bipartisan outrage; DP announced it will refer him to the National Assembly Ethics Committee and demanded resignation — trending in Korean political media Oct 12.

## THE WIRE

### DPRK

NK NEWS PRO

### Why the inter-Korean border remains unmarked, despite military risks

NK Pro analysis examines why the inter-Korean boundary in the DMZ remains physically unmarked, following the landmine explosions that injured ROK soldiers last month and raising questions about whether DPRK mines were deliberately placed south of the boundary line.

### US-KOREA

YONHAP ENGLISH

**President Lee orders stern response to alleged worker abuse at car battery plant**

President **Lee Jae-myung** ordered authorities to investigate and respond sternly to reported abuse of workers at a car battery plant, in a directive that intersects with ongoing labor-standards scrutiny of Korean battery supply chains linked to US EV investments.

YONHAP ENGLISH

**President Lee Jae-myung's move to Cheong Wa Dae planned for this year**

President Lee's office announced plans for him to relocate to the Cheong Wa Dae (Blue House) official residence before year-end, reversing the Yoon-era decision to relocate the presidential office to Yongsan.

## ANALYSIS

### OFFICIALS ON X

**President Lee Jae-myung** @Jaemyung_Lee

“Drones, lasers, and robots are already crossing the boundaries of land, sea, and air. As the battlefield changes, the way we train officers must also change. The government will build the best integrated military academy suited to South Korea's security environment.”

**Context:** Lee's post reinforces his public push for military academy integration; MND issued a same-day factual clarification that 11 of 30 large-army nations use integrated academy models, responding to a media report Lee cited to support the reform.

View on X →

**MND Spokesperson** @MNDSpokesperson

“Our military detected multiple ballistic missiles fired from the Pyongyang area toward the East Sea from approximately 9:20 a.m. on October 12. Some missiles flew over 900 km. ROK-US intelligence authorities tracked and shared the trajectory from the early phase of the launch. Our military maintains the capability and posture to respond overwhelmingly to any provocation.”

**Context:** The JCS third-report bulletin confirmed multiple missiles, with at least some exceeding 900 km flight distance; precise specifications remain under joint US-ROK analysis and had not been released as of posting.

View on X →

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

## SATELLITE & LOCATION WATCH

3 of 11 sites at elevated or alert status

ELEVATED ▲

**Yongbyon Nuclear Complex**

ACTIVITY ▲

**Sinpo South Shipyard**

NK News satellite imagery confirms continued expansion of the uranium enrichment facility at Yongbyon. NK Pro Planet Labs imagery confirms construction of a new annex to the original uranium enrichment building began in mid-September 2026, following Kim Jong Un's orders to 'exponentially' increase nuclear stockpile. IAEA confirmed (Sep 9-10, 2026) a new uranium enrichment facility capable of producing material for up to four additional warheads annually. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running.

imagery as of 2026-10-02

ACTIVITY ▲

### Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. The Sep 9, 2016 fifth nuclear test 10-year anniversary fell earlier this month; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ACTIVITY ▲

### Sinuiju–Dandong (NK-China border)

38 North satellite imagery (Sep 29, 2026) shows signs of activity at customs posts on both the North Korean and Chinese sides of the new crossing. Sep 21, 2026: ROK Embassy in Beijing confirmed the cargo carried by heavy trucks crossing the new Yalu River bridge on Sep 17 consisted of air-conditioning units (HVAC equipment) destined for the customs building, indicating construction is roughly 70-80% complete. Hankyoreh English reportage (Oct 6) confirms neon signs reading 'New Yalu River Bridge' are illuminated on the bridge as of Oct 4 at 11 pm, customs office on the North Korean side brightly lit — construction complete 12 years ago; still no official opening confirmed.

38 North satellite imagery (Oct 3, 2026) confirms several naval construction projects underway. NK News satellite imagery (Sep 25–26) confirms new warship construction begun at Chongjin Shipyard (east coast) and Nampho Shipyard (west coast) since early July — dual-coast concurrent construction. Hero Kim Kun Ok SLBM submarine exited drydock after 2+ years of fitting-out but still not operational as of May 2025. New submarine construction begun in separate bay.

imagery as of 2026-10-03

ALERT ▲

### Tumangang–Khasan (NK-Russia border)

Sep 8, 2026: The first road bridge over the Tumen River between North Korea and Russia was formally opened at a ceremony attended by Russian PM Mikhail Mishustin; the bridge is named after Soviet officer Yakov Novichenko. This constitutes a new permanent road link across the shared border, the first of its kind. NK News reporting confirms North Korea remains closed to private car travel via the bridge; crossings are limited to organized bus tours per the Association of Tour Operators of Russia (ATOR). NBC News analysis (Sep 15) frames the bridge alongside the near-complete Sinuiju-Dandong crossing as dual infrastructure bets by Pyongyang.

imagery as of 2026-09-15

ACTIVITY ▲

### Rason SEZ

Sep 21-22, 2026: NK Pro satellite imagery analysis shows a likely Russian cargo vessel docked at Rason for the first time since May 2026 — a roughly four-month gap after near-continuous activity in 2024-2025. Nov 2025: Chinese businesspeople re-entry to Rason SEZ expanded. Coal exports through Rason at highest levels in years throughout 2025. Arms export berth also active.

imagery as of 2026-09-22

imagery as of 2026-10-06

ACTIVITY ▲

### Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

4 other monitored sites: no new imagery in the last 30 days · oldest report 2025-09.

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Washington, D.C.

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